Freight Budget

	2024	2025	2026	Assumptions
Sea Freight Charges/Shipment Cost	$23,125.01	$64,269.00	$119,349.47	14
Freight Insurance	$37,592.00	$112,776.00	$187,960.00	11
Packaging Materials	$940.00	$2,590.00	$4,700.00	10
Total Customs Value	**$61,657.01**	**$179,635.00**	**$312,009.47**	
Import Duty	$6,165.70	$17,963.50	$31,200.95	12
VAT	$12,886.32	$37,543.72	$65,209.98	12
Other Expenses	$6,153.00	$12,095.00	$18,175.00	13
Total Freight Cost	**$80,709.03**	**$235,142.22**	**$408,420.40**	

Assumptions

1 The shipment of goods is going to be between Port of Toronto to Port of Hamburg

2

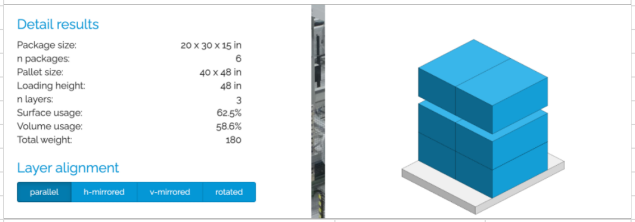
Product Dimensions (Length x Width x Height)	
Parka	30 inches x 20 inches x 6 inches
Packaged Parka	15 inches x 10 inches x 3 inches
Master Carton	30 inches x 20 inches x 15 inches

3

Volume Calculations:		
Volume of Box	30x20x15	9000 cubic inches
Volume occupied by Parka	15x10x3	450 cubic inches
Number of Parkas that can be placed in the box	(30/15)x(20/10)x1(5/3) = 2x2x5	20
Weight of Parka		1.5 kgs / 3.3 lbs
Weight of Master Carton		30 kgs / 66 lbs

4 Pallet Size being used – 48” x 40” with a loading height of 48”

6 Master Cartons can be loaded onto each pallet, i.e. 120 parkas per pallet.



5 We are exporting various amount of products each month, however, to save the cost of shipping, we will export one shipment for September 2024 and October 2024 to test the market, and another shipment for the months November 2024 and December 2024, and one shipment each quarter for the years 2025 and 2026.

6 **Calculation of Chargeable Weight**

Actual Weight of a pallet = 30 x 6 = 180 kgs or 0.18 metric tons

Volume Weight of a pallet

6 x [30 inches or 76.2 cms x 20 inches or 50.8 cms x 15 inches or 38.1 cms]

6 x 147,483.576 cubic centimetre

884,901.456 cubic centimetre

Dividing by 1,000,000 to convert it to cubic metre

0.884 cubic metres

Chargeable Weight	**0.884 cubic metres**

7 Assuming that 18 pallets can be loaded onto a 40 foot container and thus utilizing the FCL option when shipping. Thus, dividing the number of pallets by 18 to know how many full containers and LCL needs to be used for shipping.

8 Assuming the cost of FCL shipment to be approximately about CAD 5549.00 (4000 USD), which is the typical flat rate for a full container load.

9 Assuming the cost of LCL shipment to be about CAD 266.41 (USD 192) on average for one pallet which is 0.884 cubic meters. Thus, the rate is CAD 301.36 per cubic meter.

Calculated using (https://www.freightos.com/freight-resources/lcl-calculator/)

10 Assuming that CAD 2 (USD 1.44) per box was spend on acquiring the carton and packaging materials.

Year	Number of Boxes Required	Cost of Packaging
2024	469.9 or 470 boxes [(850+8548)/20]	940
2025	1294.7 or 1295 boxes [(8000+3200+2000+12694)/20]	2590
2026	2349.5 or 2350 boxes [(15850+5495+4025+21620)/20]	4700

11 Assuming that the freight insurance of the shipment is 1% of the value of shipment.

Year	Value of Shipment	Freight Insurance
2024	$3,759,200.00	$37,592.00
2025	$11,277,600.00	$112,776.00
2026	$18,796,000.00	$187,960.00

12 Assuming that the Import Duty rate is 10% and the VAT rate of Germany to be 19%.

Year	Total Customs Value	Import Duty @ 10%	VAT @ 19%
2024	61,657.01	6,165.70	12,886.32
2025	179,635.00	17,963.50	37,543.72
2026	312,009.47	31,200.95	65,209.98

13 Assuming that the other expenses include Handling Charges, Warehousing Costs, Documentation Fees, Brokerage Fees, Port Charges, Costs associated with preparing shipping and customs documents, and Miscellaneous Expenses.

	2024	2025	2026
Handling Charges	$2,000	$4,000	$6,000
Warehousing Costs	$1,000	$2,000	$3,000
Documentation Fees	$500	$1,000	$1,500
Brokerage Fees	$750	$1,500	$2,250
Port Charges	$1,000	$2,000	$3,000
Miscellaneous Expenses	$750	$1,500	$2,250
Total Other Expenses	**$6,000**	**$12,000**	**$18,000**

14 **Calculation of Shipment Cost**

			6	6			8	7,9		
Shipment Number	**Units being exported** (from Sales Forecast)	**Number of Pallets** *[Units being exported/120 parkas in one pallet]*	**Actual Weight of Shipment (metric tons)** *[Number of Pallets x Actual Weight of one pallet (0.18 metric tons)]*	**Volume Weight of Shipment (cubic metres)** *[Number of Pallets x Volume Weight of one pallet (0.884 cubic metres)]*	**Chargeable Weight** *[Whichever is larger amongst actual weight and volume weight]*	**FCL/LCL** *[Number of Pallets/18 Pallets in a container]*	**Cost of shipment of FCL** [CAD 5549 for 40 foot container]	**Cost of shipment of LCL** [CAD 301.36/cubic meter] {[(Number of Pallets - (18xFCL))xVolume of one pallet(0.884)]x301.36}	**Total Cost of Shipment**	**Number of Containers Shipped**
1 (September 2024 and October 2024)	850	7.08	1.28	6.26	6.26	1 LCL (or 0.39 of a container)		1,887.02	1,887.02	1

	2 (November 2024 and December 2024)	8,548.00	71.23	12.82	62.97	62.97	3 FCL and 1 LCL (or 0.96 of a container)	16,647.00	4,591.00	21,238.00	23,125.01	4
	3 (2025 Quarter 1)	8,000.00	66.67	12.00	58.93	58.93	3 FCL and 1 LCL (or 0.70 of a container)	16,647.00	3,374.43	20,021.43		4
	4 (2025 Quarter 2)	3,200.00	26.67	4.80	23.57	23.57	1 FCL and 1 LCL (or 0.48 of a container)	5,549.00	2,308.82	7,857.82		2
	5 (2025 Quarter 3)	2,000.00	16.67	3.00	14.73	14.73	1 LCL (or 0.93 of a container)		4,440.04	4,440.04		1
	6 (2025 Quarter 4)	12,694.00	105.78	19.04	93.51	93.51	5 FCL and 1 LCL (or 0.88 of a container)	27,745.00	4,204.72	31,949.72	64,269.00	6
	7 (2026 Quarter 1)	15,850.00	132.08	23.78	116.76	116.76	7 FCL and 1 LCL (or 0.34 of a container)	38,843.00	1,620.61	40,463.61		8
	8 (2026 Quarter 2)	5,495.00	45.79	8.24	40.48	40.48	2 FCL and 1 LCL (or 0.54 of a container)	11,098.00	2,608.52	13,706.52		3
	9 (2026 Quarter 3)	4,025.00	33.54	6.04	29.65	29.65	1 FCL and 1 LCL (or 0.86 of a container)	5,549.00	4,140.33	9,689.33		2
	10 (2026 Quarter 4)	21,620.00	180.17	32.43	159.27	159.27	10 FCL	55,490.00		55,490.00	119,349.47	10
										Total	**206,743.48**	**41**